higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

N1440**(E)**(M29)H

NATIONAL CERTIFICATE

SALES MANAGEMENT N5

(4090325)

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09:00–12:00

This question paper consists of 7 pages.

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DEPARTMENT OF HIGHER EDUCATION AND TRAINING
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE
SALES MANAGEMENT N5
TIME: 3 HOURS
MARKS: 200

NOTE: If you answer more than the required number of questions, only the required number will be marked. Clearly cross out ALL work you do NOT want to be marked.

INSTRUCTIONS AND INFORMATION

1. SECTION A is COMPULSORY.
2. Answer only THREE questions from SECTION B.
3. Read ALL the questions carefully.
4. Number the answers according to the numbering system used in this question paper.
5. Write neatly and legibly.

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SECTION A

QUESTION 1 (COMPULSORY)

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 Which ONE of the following factors will influence the selection of a forecasting method?

A Sales potential
B Risk factor
C Market research
D Time

1.1.2 The role of an initiator in the buying team is to …

A make the actual buying decision of a product.
B start the purchasing process.
C select suppliers.
D negotiate the terms of sale.

1.1.3 ONE of the advantages of the jury of executive opinion method of sales forecast is that …

A it adds to the workload of executives.
B members stay anonymous.
C it is very useful for new products with little or no sales history.
D it is scientific.

1.1.4 The last step in successful selling is …

A after-sales services.
B to assign salespeople to territories.
C to plan the presentation.
D to close the sales presentation.

1.1.5 A psychological objection a client can raise in a sales presentation:

A Inconvenience
B No need
C Other obligations
D Indecision

1.1.6 An element of a promotional mix:

A Price
B Production
C Publicity
D Physical evidence

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1.1.7 A systematic process of gathering data about the nature, scope and tasks related to a specific position or job …

A specification.
B analysis.
C description.
D development.

1.1.8 The cornerstone of selling success includes one of the following:

A Knowledge
B Empathy
C Punctuality
D Income

1.1.9 An advantage of this type of quota is that it relates easily to other data, such as selling expenses.

A Unit sales volume quotas
B Point sales volume quotas
C Combination and point system quotas
D Sales volume quota in currency/rand value

1.1.10 Aspects of a job description will include one of the following:

A Training
B Experience
C Duties
D Communication skills

(10 × 2) (20)

1.2 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (1.2.1–1.2.15) in the ANSWER BOOK.

1.2.1 Cold canvassing means that a salesperson has some knowledge about the prospect.

1.2.2 Grading is the sorting of products according to present generally acceptable standards.

1.2.3 Sales force composite utilises the opinions of executives without a face-to-face discussion.

1.2.4 Analysing salespeople's workload is the first step in setting up sales territories.

1.2.5 If sales personnel participate in quota setting, it would simplify the task of explaining quotas and how they are determined.

1.2.6 A spotter is a person who refers prospects to a salesperson.

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1.2.7 If a prospect is only interested in a product but does not have a use or need for the product for himself/herself, a relative, friend or business, he still qualifies as a prospect.

1.2.8 The showmanship approach is based on every person's desire to receive gifts or something free.

1.2.9 An endorsement is when a well-known person or association puts his/her/its stamp of approval on a product.

1.2.10 Self-satisfaction means the prospect does not have money to buy the product.

1.2.11 After an unsuccessful close the salesperson should maintain contact with the prospect.

1.2.12 Circular routes involve starting at the office and moving in a circle of stops until the salesperson ends up back at the office.

1.2.13 In the product approach, the sales person's approach is built entirely around the prospect.

1.2.14 The question approach grabs the prospect's attention through fear.

1.2.15 Unit sales volume quotas are used when prices vary considerably and when narrow product lines are sold at stable prices.

(15 × 2) (30)
[50]

TOTAL SECTION A: 50

SECTION B

ANSWER any THREE questions in SECTION B.

QUESTION 2

2.1 The modern professional salesperson is a good listener, is very observant and knows what the client wants and how to keep him or her happy. Salespeople therefore consider it important to follow up on their customers after a sale.

Give FIVE reasons why it is important to follow up on customers. (5 × 2) (10)

2.2 List FIVE factors that influence sales territory design. (5 × 2) (10)

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2.3 Discuss the following approach techniques:

2.3.1 Question technique

2.3.2 Shock technique

2.3.3 Product approach

2.3.4 Compliment approach

(4 × 4) (16)

2.4 Objections are the prospect's dislikes or disapprovals that stop a sale from moving forward.

Name FIVE techniques a salesperson can use to overcome objections.

(5 × 2) (10)

2.5 Define the term *personal selling*. (4)

[50]

QUESTION 3

3.1 Most sales companies look for a dynamic and self-motivated person with initiative and drive; and who possesses good communication skills.

Name any other FIVE personality traits of a successful salesperson. (5 × 2) (10)

3.2 State FOUR supplementary services salespeople must perform. (4 × 2) (8)

3.3 Discuss FIVE ways in which 'influence centres' can be used for prospecting, and give practical examples of how it is used. (5 × 2) (10)

3.4 Effective demonstration is one of the best methods available to convey a sales message to a prospective buyer.

Which NINE principles should a salesperson keep in mind when demonstrating how the buyer should use their products? (9 × 2) (18)

3.5 Classify the following closing techniques:

3.5.1 Would you prefer the green or the white one?

3.5.2 If you buy it now, you will receive 100 free minutes.

3.5.3 Your children or wife may suddenly become sick and medical bills can add up quickly. The last thing you want to worry about is finances. You want protection for your family, don't you?

3.5.4 There is only one table left in this colour and we will not receive any more in this colour.

(4 × 1) (4)

[50]

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QUESTION 4

4.1 The most important function of forecasting is to provide a basis for organisational planning and budgeting, and it forms part of the strategic planning process of a business.

Name and discuss any THREE forecasting methods. (3 × 4) (12)

4.2 It is important that a salesperson has knowledge of the business' history.

Name any other FIVE types of business knowledge that is important for a salesperson. (5 × 2) (10)

4.3 Name FOUR types of quotas. (4 × 2) (8)

4.4 The professional salesperson who wishes to achieve success realises that he or she must devote time and attention to gather information.

Name FIVE types of information that is required if a prospect is acting on behalf of a business. (5 × 2) (10)

4.5 There are various reasons why customers stop buying from a specific supplier.

Give FIVE reasons why customers become inactive. (5 × 2) (10)

[50]

QUESTION 5

5.1 Name and discuss the FOUR factors that influence probable sales volumes. (4 × 4) (16)

5.2 List FIVE reasons why it is important to establish specific sales territories and assign them to different salespeople. (5 × 2) (10)

5.3 List FOUR objectives for using quotas. (4 × 2) (8)

5.4 Name FIVE factors that influence the size, structure and composition of the buying team. (5 × 2) (10)

5.5 What are the advantages of a properly designed routing system? (3 × 2) (6)

TOTAL SECTION B: 150
GRAND TOTAL: 200

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